

Dr Reddys Laboratories Ltd (DRREDDY)

ROE	21.4%
ROCE	26.5%
CFO Quality	Moderate
Capital Allocation	Reinvestor

Strengths

- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

- Future performance remains subject to industry cycles and execution risks.